As explained earlier the value added is equal to the income accrued to institutional units involved in the production process that is value addition process. Hence GDP should be equal to GNI.

But all the income does not accrue to resident institutional units. Primary incomes generated in the production activity of resident producer units within the economic territory are distributed mostly to other resident institutional units. However, part of them may go to non-resident units. In the same way part of primary incomes generated in the production activity in the Rest of the World by their resident units are distributed to their non-resident units. Some of their non-resident units may be our resident units and some income is distributed to our resident units. Hence GNI can be arrived by adding net primary income to GDP.

The difference between primary income accrued to non-resident institutional units in the economic territory of a country and income accrued to resident institutional units in the ROW is called **net primary income from Rest of the World (ROW)**.

As per SNA 2008, GNI is equal to GDP less primary incomes payable to non-resident units plus primary incomes receivable from non-resident units. In other words, GNI is equal to GDP less taxes net of subsidies on production and imports, compensation of employees and property income payable to the rest of the world plus the corresponding items receivable from the rest of the world. Thus GNI is the sum of gross primary incomes receivable by resident institutional units or sectors form domestic economic territory and foreign economic territory. GNI is expressed in formulaic form as follows:

GNI = GDP + [(taxes less subsidies on production and imports + compensation of employees and property income payable to the rest of the world)– (taxes less subsidies on production and imports + compensation of employees and property income receivable from the rest of the world)]

The shortened version of the above formula is as below: